Goldman Sachs’ copper call and BHP’s Escondida decision

Fund readiness. Test replacement value.

How should BHP sequence a $5.4–6.3bn replacement concentrator under uncertain copper prices and execution costs?

Independent financial and capital-allocation analysis
4 November 2026 • Private editorial review

Stage commitments while preserving the replacement timetable

Finding	Financial implication
GS revision: +$1,600/t for CY2027	$2.39bn gross annualised sales exposure
Project IRR uses $4.76/lb long term	2027 prices cannot establish lifetime returns
Base hurdle: 199ktpa of effective benefit	About 80% of facility output must be justified
Readiness approval precedes full FID	Retain engineering and permitting, gate major awards

Recommendation is conditional on verified production lost without replacement and safe, permitted execution.

Goldman’s reported 2027 view is 18% above the World Bank’s

Reference	US$/t	Period / evidence
GS previous average	13,800	CY2027; secondary reporting
GS revised average	15,400	CY2027; original unavailable
World Bank	13,000	CY2027; October primary forecast
BHP return assumption	10,494	Long term; UBS May2026 via BHP

US inventory accumulation can tighten ex-US availability without the same global balance. Scrap substitution and positioning can reverse.

Copper drove earnings, but contribution definitions matter

US$bn except production	FY2025	FY2026
Copper statutory revenue	22.53	29.03
Copper underlying EBITDA	12.33	18.19
Group underlying EBITDA	25.98	32.95
Copper production, mixed basis (Mt)	2.017	1.953

BHP’s 54% contribution excludes Group and unallocated items. Copper / total group EBITDA is 55.2%. Q1 FY27 copper volume fell 19%.

The $11bn annual plan competes with potash and other copper options

Capital use	US$bn	Basis / investment stage
FY27 group capex + exploration	11.0	Annual guidance
Growth component	3.8	Within group guidance
Escondida New Concentrator	5.4–6.3	Gross total, nominal; pre-FID
Vicuña Stage I	7–8	100% JV; real July2026
Jansen Stages 1 / 2	8.4 / 6.9	Total budgets; not remaining spend

Do not add project totals to annual guidance. NOJV investment has a separate accounting boundary. Some scope estimates exclude commercial commitments.

The GS revision implies $2.39bn of gross sales exposure

Isolated +$1,600/t at fixed volumes	US$bn	Adjustment
Gross consolidated sales change	2.39	1.575Mt × 95% sales factor
EBITDA change proxy	2.27	5% price-linked leakage
Cash change proxy	1.48	35% marginal cash tax wedge
Q1 FY27 realised copper price	$15,454/t	Already close to GS2027 $15,400/t

Annualised sensitivity, not a FY27 forecast. Production, inventory, by-products, provisional pricing, tax and minority distributions change outcomes.

Escondida must preserve enough output to cover $839m a year

Capital-recovery screen	Base assumption / result
Gross capex / BHP pro rata	$5.85bn / $3.36bn
Price / all-in net burden	$10,494/t / $4,000/t
Spending / first full benefit	2027–31 equal draws / 2032
Discount rate / benefit life	10% nominal / 20 years
Required after-tax benefit / effective output	$839m per year / 199ktpa

199ktpa is a hurdle versus the no-build case. The 250ktpa facility midpoint includes replacement output. Actual project NPV and IRR remain unverified.

Cost and delay stress can raise the hurdle above facility output

Case	Long-term $/t	Capex $bn	Required ktpa
Base	10,494	5.85	199
Upside	13,000	5.85	143
Downside	8,500	5.85	287
Delay	10,494	5.85	219
Overrun	10,494	7.02	239
Combined stress	8,500	7.02	416

Delay holds capex timing fixed and shifts all benefits. Combined stress: $8,500/t, 20% overrun and two-year delay. Full ramp-up is not disclosed.

Funding flexibility narrows when prices and volumes weaken

Illustrative annual cash use, US$bn	Base	Downside
FY26 CFO anchor + copper cash shock	22.10	19.60
Group capex / other investing	(11.00) / (1.75)	(11.00) / (1.75)
BHP / baseline NCI cash dividends	(6.76) / (2.36)	(6.76) / (2.36)
Incremental NCI cash proxy	(0.09)	0.62 relief
Residual before financing	0.14	(1.65)

Mixed-period illustration, not a debt forecast. Dividends can change. $8.69bn historical net debt and a $5.5bn undrawn RCF provide dated context.

Acceleration needs avoided losses large enough to cover its premium

Option assumption	Capital / timing consequence	Investment condition
Maintain sequence	Base hurdle 199ktpa	Replacement benefit clears stress
Accelerate one year	10% cost premium; hurdle 219ktpa	Permits, safe capacity and lost-output savings
Stage one year	5% escalation; hurdle 209ktpa	Deferral does not disrupt continuity

Staging defers $1.17bn gross first-year spending. At an assumed 125ktpa at risk, one lost operating year costs about $528m after tax. These are independent screens.

Commit further only when the replacement counterfactual clears the hurdle

Decision trigger	Evidence needed / response
Permits and execution readiness	Verify approvals, safe schedule, procurement and contingency
No-build lost output	Obtain Los Colorados decline and alternative-processing plan
Downside returns and funding	Re-run hurdle with tax, ramp-up and portfolio cash demands
Acceleration opportunity	Approve only if avoided loss exceeds incremental execution cost
Persistent shortfall	Re-scope or defer awards, protect essential continuity work

Maintain engineering and permitting readiness. Treat the disclosed 16–18% IRR as management guidance until project cash flows can be tested.

The model supports a conditional strategy study for editorial review

Evidence / method	What the reader can inspect
Primary issuer financials and guidance	Source register with document locators and accounting bases
GS forecast attributed through public reporting	Original unavailable; no bank charts or models reproduced
Editable workbook and independent calculations	Six cases, price-volume exposure and capital-recovery thresholds
Public-disclosure limitations	No-build output, fiscal schedule, ramp-up and project cash flows
Deliverables	Model, memo, evidence ledger, methods and QC report

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